Module 5: Tax Credits and Benefits

- Understand how credits differ from deductions
- Identify key refundable and non-refundable credits
- Apply credits to real tax planning situations

Deductions vs. Credits

- Deduction: reduces taxable income — value depends on marginal rate
- Credit: reduces tax payable directly — flat rate (15%)
- Example: $1,000 RRSP saves $300 vs. $1,000 tuition credit saves $150

Non-Refundable Tax Credits

- Reduce tax to zero but cannot create refund
- Common: Basic personal amount, spousal, age, disability, tuition, medical, donations
- Apply on Schedule 1 of T1 return

Basic Personal Amount (BPA)

- 2024: $15,705 × 15% = $2,355.75 federal reduction
- Automatic for all taxpayers
- Claim Line 30000

Spousal and Dependent Amounts

- Support for spouse or dependent earning under $15,705
- Reduction = 15% × ($15,705 – dependent’s income)
- Claimed on Schedule 5

Tuition Credit

- Eligible tuition >$100 from recognized institution
- 15% federal credit; carry forward indefinitely or transfer ($5,000 max)
- Schedule 11, Line 32300

Medical Expense Credit

- Claim if >3% of net income or $2,635 (lower of the two)
- Includes prescriptions, dental, travel for medical care
- Line 33099 or 33199

Medical Credit Example

- Income $60,000, expenses $4,000 → threshold = $1,800
- Credit = ($4,000 - $1,800) × 15% = $330
- Best claimed by lower-income spouse

Charitable Donations

- 15% on first $200; 29–33% on balance
- Combine with spouse for higher benefit
- Carry forward for 5 years; Schedule 9

Refundable Tax Credits

- Can create refund even if no tax owed
- Examples: GST/HST, Canada Child Benefit, Climate Action, Workers Benefit
- Encourage equality and affordability

Canada Child Benefit (CCB)

- Tax-free monthly benefit for children under 18
- 2024: $7,437 (<6), $6,275 (6–17)
- Based on family net income

Canada Workers Benefit (CWB)

- Refundable credit for low-income workers
- Phase-out starts ~ $33,000 family income
- Includes disability supplement

Climate Action Incentive (CAI)

- Federal carbon rebate, quarterly since 2023
- Amount varies by province and family size
- Refundable, Line 45110

Refundable vs. Non-Refundable Comparison

- Refundable → creates refund even with $0 tax
- Non-refundable → reduces tax payable only
- Refundable: GST/HST, CCB, CWB, CAI | Non-refundable: Tuition, Medical, Donations

Credit Planning Example – Tuition Transfer

- Student earns $10,000; tuition $8,000
- No tax payable → transfer $8,000 × 15% = $1,200 credit to parent
- Parent claims on Schedule 2

Donation Planning Example

- Couple donates $2,000 → 15%×$200 + 29%×$1,800 = $558 credit
- Pooling donations under one spouse increases total savings

Credit vs Deduction Example

- RRSP deduction: $2,000 × 30% = $600 saved
- Credit: $2,000 × 15% = $300 saved
- Credits are flat-rate; deductions scale with income

Carryforward and Transfer Rules

- Tuition: indefinite carryforward
- Donations: 5-year carryforward
- Transfers allowed: tuition/disability to spouse or parent

CRA Schedules and Line References

- Schedule 1 – Federal Tax (Lines 30000–34900)
- Schedule 6 – Canada Workers Benefit (Line 45300)
- Schedule 9 – Donations (Lines 34000–34900)
- Schedule 11 – Tuition (Line 32300)

Planning Strategies Summary

- Use deductions for high earners, credits for all taxpayers
- Combine or transfer credits for family optimization
- Apply carryforwards strategically in lower-income years

Summary – Non-Refundable Credits

- Basic, spousal, age, disability, tuition, medical, donations
- Federal base rate 15%, province varies
- Carry forward or transfer where permitted

Summary – Refundable Credits

- GST/HST, CCB, CWB, CAI
- Reassessed annually by CRA
- Provide targeted financial relief

Review and Discussion

- List 3 refundable and 3 non-refundable credits
- Explain why credits provide equity vs deductions
- Describe how families can maximize credits jointly

Next Module Preview

- Module 6: Tax Planning Across Life Stages
- Integrating credits, deductions, and deferrals into long-term planning